# BOOK KEEPING & ACCOUNTANCY

**Time: 3 Hrs.** **Max. Marks: 80**

**Q.1. All objective questions are compulsory:** **[20]**

**(A) Write the word/phrase/term which can substitute each of the following statements:** **(5)**

(1) Credit balance of profit and loss account.
(2) Donation received for a specific purpose.
(3) The ratio which is obtained by deducting old ratio from new ratio.
(4) Expenses incurred on dissolution of firm.
(5) Tally software is classified into this category.

**(B) Calculate the following:** **(5)**

(1) Calculate 12.5% p.a. depreciation on furniture
  (a) On ₹ 2,20,000 for 1 year
  (b) On ₹ 10,000 for 6 months
(2) Library books ₹ _____ Less 10% depreciation ₹ 5,000 = ₹ 45,000
(3) Apte and Bhate are sharing profits and losses in the ratio 3 : 2, if Kate is admitted at 1/4 share then calculate new profit sharing ratio.
(4) Ganesh draws a bill for ₹ 40,000 on 15$^{th}$ January, 2020 for 2 months. He discounted the bill with Bank of India @ 15% p.a. on the same day. Calculate the amount of discount.
(5) From the following information, calculate Current Assets:
Debtors ₹ 60,000, Creditors ₹ 30,000, Bills payable ₹ 20,000, Stock ₹ 30,000, Loose tools ₹ 10,000, Bank overdraft ₹ 10,000.

**(C) Do you AGREE / DISAGREE with the following statements:** **(5)**

(1) Partnership is an association of two or more persons.
(2) Not for profit concerns do not prepare Balance sheet.
(3) Retiring partner is not entitled to share in general reserve and accumulated profit.
(4) Dissolution takes place when the relation among the partners comes to an end.
(5) The Authorised Capital is also known as Nominal Capital.

**(D) Select the most appropriate alternative from the following and rewrite the sentences:** **(5)**

(1) Maximum number of partners in a firm are _____ according to the Companies Act 2013.
  (A) 10 (B) 25
  (C) 20 (D) 50

(2) Income and expenditure account is a _____ account.
  (A) Capital (B) Real
  (C) Personal (D) Nominal

(3) If asset is taken over by the partner _____ account is debited.
  (A) Revaluation (B) Capital
  (C) Asset (D) Balance sheet

(4) Death is compulsory _____.
  (A) dissolution (B) admission
  (C) retirement (D) winding up

(5) The person on whom a bill is drawn is called a _____.
  (A) drawee (B) payee
  (C) drawer (D) acceptor

**Q.2.** The following is the Balance sheet of partners Aditya and Chaitanya on 31st March, 2019 they share profits and losses in the ratio of 3 : 2: **[10]**

**Balance Sheet as on 31st March, 2019**

| Liabilities | Amount ₹ | Assets | Amount ₹ |
|---|---|---|---|
| Creditors | 60,000 | Building | 30,000 |
| Capital Accounts: | | Furniture | 1,800 |
| *Aditya* | 42,000 | Machinery | 42,000 |
| *Chaitanya* | 42,000 | Stock | 24,600 |
| Current Accounts: | | Debtors | 54,000 |
| *Aditya* | 7,500 | Cash | 6,000 |
| *Chaitanya* | 6,900 | | |
| | **1,58,400** | | **1,58,400** |

Adjustments:

They admitted Sachin into partnership on 1st April, 2019 on the following terms:

(1) Building to be valued at ₹ 36,000, machinery and furniture to be reduced by 10%.

(2) Sachin should pay ₹ 6,000 as his share of Goodwill. 50% of goodwill withdrawn by partners in cash.

(3) A provision of 5% on debtors to be made for doubtful debts.

(4) He should bring ₹ 18,000 as capital for 1/4th share in future profit.

(5) Stock is to be taken at the value of ₹ 30,000.

**Prepare:**

(i) Profit and Loss Adjustment Account

(ii) Partners' Current Account.

(iii) Balance Sheet of the New Firm.

**OR**

Given below is the Balance sheet of Amar, Akbar and Anthony who were sharing profits and losses equally:

**Balance Sheet as on 31st March, 2020**

| Liabilities | Amount ₹ | Assets | | Amount ₹ |
|---|---|---|---|---|
| Creditors | 31,000 | Cash | | 39,000 |
| General Reserve | 24,000 | Debtors | 32,000 | |
| Capital Accounts: | | Less : R. D. D. | 4,000 | 28,000 |
| *Amar* | 57,400 | Furniture | | 30,000 |
| *Akbar* | 63,600 | Machinery | | 80,000 |
| *Anthony* | 60,000 | Motor Car | | 50,000 |
| | | Profit and Loss A/c | | 9,000 |
| | **2,36,000** | | | **2,36,000** |

Amar retired on 1st April, 2020 from the firm on the following terms:

(1) Furniture to be valued at ₹ 28,000, Machinery ₹ 76,000 and Motor car ₹ 47,600.

(2) R.D.D. to be maintained at 5% on debtors.

(3) Goodwill of the firm is to be valued at ₹ 30,000. However, only Amar's share is to be raised in the books.

(4) A part payment of ₹ 20,000 to be made to Amar and the balance to be transferred to his Loan Account.

**Prepare:**

(i) Profit and Loss Adjustment A/c
(ii) Partners' Capital Account
(iii) Balance Sheet of the New firm.

**Q.3.** Hema, Manisha and Limsy were in partnership firm sharing profits and losses in the ratio of 5:3:2. They decided to dissolve their partnership firm on 31st March 2019 and their Balance sheet as on that date stood as: **[10]**

**Balance Sheet as on 31st March, 2019**

| Liabilities | Amount ₹ | Assets | Amount ₹ |
|---|---|---|---|
| Capital Accounts: | | Machinery | 1,00,000 |
| *Hema* | 1,50,000 | Debtors | 50,000 |
| *Manisha* | 80,000 | Stock | 70,000 |
| Reserve Fund | 10,000 | Cash at bank | 30,000 |
| Sundry Creditors | 20,000 | Limsy Capital A/c | 20,000 |
| Bills payable | 10,000 | | |
| | **2,70,000** | | **2,70,000** |

The firm was dissolved on 31st March, 2019 and assets were realised as under:

(1) Machinery realised 60% of its book value.
(2) Out of debtors, Mr. Jagdish, our customer for ₹ 20,000 was declared insolvent and nothing could be recovered from him. Other debtors are good and recovered and realised.
(3) Hema took stock at an agreed value of ₹ 50,000.
(4) Creditors and Bills payable were paid at 10% discount.
(5) Limsy became insolvent and nothing was recovered from her estate.

**Prepare:**

(i) Realisation Account
(ii) Partners' Capital Account
(iii) Bank Account

**OR**

Rajesh sold goods on credit to Sulochana for ₹ 25,000. Rajesh draws a bill for ₹ 25,000 on Sulochana for 3 months. Rajesh discounted the bill with his bank @ 10% p.a. on the same day. On the due date of bill, Sulochana requested Rajesh to accept ₹ 5,000 including ₹ 1,000 for interest and to draw a bill for the balance for 3 months. Rajesh agreed to this proposal. One month before the due date, Sulochana retired the bill for ₹ 20,200.

Pass necessary Journal Entries in the books of Rajesh.

**Q.4.** Sameer and Company Limited invited applications for 25,000 Equity shares of ₹ 100 each payable as: **[8]**

₹ 25 on application
₹ 50 on allotment
₹ 25 on first and final call

Applications were received for 30,000 Equity shares and pro-rata allotment were made to all. All the money was duly received except first and final call on 2,500 Equity shares.
Enter the above transactions in the books of Sameer and Company Limited.

**OR**

Give comparison between Manual Accounting Process and Computerized Accounting Process.

**Q.5.** Arun, Varun and Karun were partners in a business sharing profits and losses in the ratio of 2 : 2: 1 respectively. Their Balance sheet as on 31st March, 2019 was as under : **[8]**

**Balance Sheet as on 31st March, 2019**

| Liabilities | Amount ₹ | Assets | | Amount ₹ |
|---|---|---|---|---|
| Capital Accounts: | | Land and Building | | 27,900 |
| *Arun* | 20,000 | Investment | | 15,000 |
| *Varun* | 20,000 | Furniture | | 8,000 |
| *Karun* | 10,000 | Debtors | 10,400 | |
| Creditors | 16,000 | Less : R. D. D. | 400 | 10,000 |
| Bank Loan | 4,000 | Bank | | 4,100 |
| | | Goodwill | | 5,000 |
| | **70,000** | | | **70,000** |

On 1st July, 2019 Karun died and the following adjustments were made:

(1) All the debtors were considered as good.

(2) Bank Loan were paid off.

(3) Furniture was depreciated by ₹ 550.

(4) Investments were sold out in the Market at 10% profit.

(5) Goodwill of the firm was valued at ₹ 7,500. It was to be raised in the books.

(6) Karun was entitled to get his share in the profit up to the date of his death. Profit for 2019-2020 was estimated at ₹ 5,000.

(7) The amount due to Karun's Executor was paid by NEFT.

**Prepare:**

(a) Profit and Loss Adjustment A/c.

(b) Partners' Capital Account

(c) Balance sheet of New Firm.

**OR**

Convert following Trading Account and Profit and Loss Account into Vertical Income Statement:

**Trading, Profit and Loss Account**
**for the year ended as on 31st March, 2020**

**Dr.** **Cr.**

| Particulars | Amount ₹ | Particular | Amount ₹ |
|---|---|---|---|
| To Opening stock | 20,000 | By Sales | 1,20,000 |
| To Purchases | 90,000 | By Closing Stock | 30,000 |
| To Carriage inward | 500 | | |
| To Wages | 10,000 | | |
| To Gross Profit c/d | 29,500 | | |
| **Total** | **1,50,000** | **Total** | **1,50,000** |
| To Office expenses | 12,500 | By Gross Profit b/d | 29,500 |
| To Selling expenses | 10,000 | | |
| To Finance expenses | 3,000 | | |
| To Net Profit c/d | 4,000 | | |
| | **29,500** | | **29,500** |

**Q.6.** From the following Receipts and Payments Account of "Matsyodari Engineering College, Aurangabad" for the year ending on 31st March, 2020 and additional informations, prepare Income and Expenditure Account for the year ending 31st March, 2020 and Balance Sheet as on that date: **[12]**

**Receipts and Payments Account**
**for the year ended 31st March, 2020**

**Dr.** **Cr.**

| Receipts | Amount ₹ | Payments | Amount ₹ |
|---|---|---|---|
| To Balance b/d | | By Salaries to Teaching Staff | 10,00,000 |
| Cash in hand | 8,000 | By Electricity charges | 50,000 |
| Cash at bank | 1,00,000 | By Books | 64,000 |
| To Interest | 50,000 | By Furniture | 55,000 |
| To Subscription | 30,000 | By Stationary | 24,000 |
| To Life Membership Fees | 40,000 | By Fixed Deposit | 7,00,000 |
| To Donation | 5,00,000 | By Balance c/d | |
| To Tuition fees | 11,50,000 | Cash in hand | 20,000 |
| To Term fees | 2,00,000 | Cash at bank | 2,25,000 |
| To Sundry Receipts | 10,000 | | |
| To Admission Fees (Revenue) | 50,000 | | |
| | **21,38,000** | | **21,38,000** |

Additional information:

| Particulars | 01.04.2019 | 31.03.2020 |
|---|---|---|
| Books | 7,00,000 | 7,00,000 |
| Furniture | 3,19,000 | 3,00,000 |
| Building fund | 10,00,000 | ? |
| Fixed Deposit | 9,10,000 | ? |
| Capital Fund | 10,37,000 | ? |

**Adjustments:**

(1) 50% Donations are for Building fund and the balance is to be treated a Revenue Income.
(2) Outstanding subscription ₹ 5,300.
(3) Life Membership fees are to be capitalised.

**Q.7.** Varsha and Harsha are partners sharing profits and losses in their capital ratio. You are required to prepare Trading Account, Profit and Loss Account for the year ending 31st March, 2020 and Balance sheet as on that date: **[12]**

**Trial Balance as on 31st March, 2020**

| Debit Balance | Amount ₹ | Credit Balance | Amount ₹ |
|---|---|---|---|
| Sundry Debtors | 56,000 | Sales | 2,40,000 |
| Purchases | 1,10,000 | Sundry Creditors | 99,600 |
| Plant and Machinery | 1,60,000 | Purchase Return | 2,000 |
| Furniture | 1,05,800 | Capital Accounts | |
| Salaries | 8,600 | *Varsha* | 1,80,000 |
| Sales Return | 1,000 | *Harsha* | 60,000 |
| Cash in hand | 1,02,000 | Current Accounts: | |
| Opening Stock | 35,600 | *Varsha* | 10,000 |
| Rent, Rates and Taxes | 9,000 | *Harsha* | 6,000 |
| Advertisement | 9,600 | | |
| | **5,97,600** | | **5,97,600** |

Adjustments:

(1) Stock on 31st March, 2020 was valued at ₹ 74,000.
(2) Depreciation on Plant and Machinery @ 5% p.a.
(3) Partners are entitled to get Interest on Capital at 5% p.a.
(4) Outstanding expenses: Salaries ₹ 700.
(5) Provide further Bad debts of ₹ 1,680 on Sundry debtors.